

25CV06209 Ruby's Fresh Mexican Food and Tequila Bar vs Juan Pablo Pantoja et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-08-28

Motion: Motions to Set Aside

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Tentative Ruling: Ruby's Fresh Mexican Food and Tequila Bar vs Juan Pablo Pantoja et al

Case Number

25CV06209

Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 08/28/2026 - 10:00

Nature of Proceedings

Motions to Set Aside

Tentative Ruling

(1) For the reasons stated herein, the amended motion of defendant Diana J. Cibrian to set aside the default taken against defendant is granted. The default of defendant entered on December 16, 2025, is vacated. Defendant shall, on or before September 4, 2026, file and serve, and file proof of service of, the "General Denial and Affirmative Defenses to Plaintiff's Complaint for Damages" in the form submitted as exhibit A to the declaration of defendant filed on May 8, 2026.

(2) For the reasons stated herein, the motion of defendant Ezequiel Rodriguez to set aside the default taken against defendant is granted. The default of defendant entered on December 16, 2025, is vacated. Defendant shall, on or before September 4, 2026, file and serve, and file proof of service of, the "General Denial and Affirmative Defenses to Plaintiff's Complaint for Damages" in the form submitted as exhibit A to the declaration of defendant filed on June 25, 2026.

Background:

As alleged in the complaint of plaintiff Ruby's Fresh Mexican Food and Tequila Bar, LLC, (Plaintiff):

On or about December 2018, Plaintiff retained licensed insurance agent Diana J. Cibrian, doing business as Casa Azteca Insurance Agency (Cibrian), and her employees Juan Pablo Pantoja (Pantoja) and Ezequiel Rodriguez (Rodriguez), to perform payroll and tax processing services for Plaintiff's business. (Complaint, section 1, ¶¶ 4-5 & section II, ¶ 1.) Cibrian, Pantoja, and Rodriguez represented that they were experienced, competent, and qualified to handle all payroll and tax compliance matters on Plaintiff's behalf. (Complaint, section II, ¶ 1.) From 2019 through mid-2022, Cibrian, Pantoja, and Rodriguez provided these services for Plaintiff who relied on their representations and entrusted them with confidential business and employee payroll information. (Id. at ¶ 2.)

During the course of the engagement, Plaintiff discovered multiple minor errors committed by Cibrian, Pantoja, and Rodriguez and in August 2022, terminated the business relationship with Cibrian. (Complaint, section II, ¶ 3.) In March 2023, Plaintiff's new payroll provider, J.J. Oakmont Inc., discovered that Cibrian, Pantoja, and Rodriguez had failed to properly report and process payroll for the tax periods 2019, 2020, and 2021, and had failed to file required tax forms for tax years 2019 through 2022. (Complaint, section II, ¶ 4.) On August 5, 2025, the Internal Revenue Service issued its assessment of penalties and interest for the failure to file, totaling \$96,470.00. (Complaint, section II, ¶ 5 & exhibit A.)

On October 1, 2025, Plaintiff filed a verified complaint against Cibrian, Pantoja, and Rodriguez, asserting seven causes of action: (1) fraud-intentional misrepresentation; (2) negligence; (3) concealment/fraudulent non-disclosure; (4) breach of fiduciary duty; (5) violations of the Unfair Competition Law, Business and Professions Code section 17200 et seq.; (6) conversion; and (7) declaratory relief/indemnity.

On November 20, 2025, Pantoja filed a verified answer to the complaint, responding to its allegations and asserting six affirmative defenses.

On December 16, 2025, the defaults of Cibrian and Rodriguez were entered as requested by Plaintiff.

On December 19, 2025, Cibrian filed a motion (the First Cibrian Motion) to set aside the default entered on December 16. The First Cibrian Motion was calendared for hearing on March 27, 2026.

On March 27, 2026, after a hearing, the court entered a minute order adopting its tentative ruling on the First Cibrian Motion, pursuant to which the court continued that motion to May 1, 2026, to allow for proper service. The court ordered Cibrian to serve the First Cibrian Motion, together with a copy of the court's ruling, on all appearing parties no later than April 1, 2026, and to file a proof of service with the court no later than April 6. Further, the court ordered all opposition and reply papers to be filed and served per code.

On May 1, 2026, after a hearing, the court entered a minute order taking the First Cibrian Motion off-calendar because Cibrian did not file a proof of service of that motion with the court as required by the March 27, 2026, minute order described above.

On May 8, 2026, Cibrian filed a motion (the Second Cibrian Motion) to set aside the default on the grounds of mistake, inadvertence, and excusable neglect, which is calendared for hearing on August 28.

On June 25, Cibrian filed an amended motion (the Amended Second Cibrian Motion) to set aside the default on the grounds of mistake, inadvertence, surprise, and excusable neglect; and Rodriguez separately filed a motion (the Rodriguez Motion) to set aside the default on the grounds of mistake, inadvertence, surprise, and excusable neglect. The Rodriguez Motion is also calendared for hearing on August 28.

Plaintiff filed an opposition to the Amended Second Cibrian Motion, and separately filed an opposition to the Rodriguez Motion.

Analysis:

“Although a trial court has discretion to vacate the entry of a default or subsequent judgment, this discretion may be exercised only after the party seeking relief has shown that there is a proper ground for relief, and that the party has raised that ground in a procedurally proper manner, within any applicable time limits.” (Cruz v. Fagor America, Inc. (2007) 146 Cal.App.4th 488, 495.) Though Code of Civil Procedure section 473, subdivision (b), “provides for both discretionary and mandatory relief[]” (Pagnini v. Union Bank, N.A. (2018) 28 Cal.App.5th 298, 302), “[u]nder the plain language of the statute, the mandatory relief provision only applies in the case of an ‘attorney’ representing a ‘client[]’” (Esther B. v. City of Los Angeles (2008) 158 Cal.App.4th 1093, 1098.)

Relevant here, “[t]he court may, upon any terms as may be just, relieve a party ... from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (Code Civ. Proc., § 473, subd. (b).) Relief from a default under subdivision (b) of section 473 “is within the trial court’s discretion” and must be, among other things, based on a showing of “ ‘mistake, inadvertence, surprise or excusable neglect.’ [Citation.]” (Lorenz v. Commercial Acceptance Ins. Co. (1995) 40 Cal.App.4th 981, 989, original italics.)

The party moving for relief under the discretionary provision of Code of Civil Procedure section 473 bears the “burden to demonstrate ‘that due to some mistake, either of fact or of law, of himself ..., or through some inadvertence, surprise or neglect which may properly be considered excusable, the judgment or order from which he seeks relief should be reversed.’ [Citation.]” (Hopkins & Carley v. Gens (2011) 200 Cal.App.4th 1401, 1410.)

(1) The Amended Second Cibrian Motion

In support of the Second Cibrian Motion and the Amended Second Cibrian Motion, Cibrian submits declarations which contain identical or nearly identical assertions. For example, Cibrian states in support of each motion, that they learned about the default entered on December 16, 2025, when Cibrian attempted to file an answer to the complaint. (Cibrian Dec. [Second and Amended Second Cibrian Motions], ¶ 1.) Though Cibrian failed to file that answer timely, Cibrian asked Plaintiff’s counsel if he would extend the time for Cibrian to respond, which Plaintiff’s counsel could not do. (Id. at ¶ 2.)

Cibrian further states in support of the Amended Second Cibrian Motion, that due to Cibrian’s unfamiliarity with the legal process, Cibrian was unaware of the requirement to serve the First Cibrian Motion on the other parties and to submit a proof of service. (Cibrian Dec., ¶ 3.) In addition, Cibrian asserts that they missed the hearing on March 27, 2026, due to a written mistake. (Ibid.)

Cibrian also asserts that they discovered mistakes or incorrect information in the Second Cibrian Motion on June 17, 2026. (Cibrian Dec. [Amended Second Cibrian Motion], ¶ 4.) Cibrian contends that they are wrongfully included in this matter and that it would be unfair to punish Cibrian for their “lack of legal procedures for this matter.” (Id. at ¶ 4.)

In support of the opposition to the Amended Second Cibrian Motion, Plaintiff’s counsel, Matthew Olufs (attorney Olufs), states that Cibrian was served with the summons and complaint on October 13, 2025, and that on November 10, 2025, attorney Olufs sent Cibrian a letter regarding her response to Plaintiff’s complaint. (Olufs Dec., ¶¶ 2, 3 & exhibit A.) In that correspondence, attorney Olufs advised Cibrian that Cibrian was required to file a verified answer; and that to avoid entry of default, Cibrian should complete a verified answer and ensure that it was properly filed with the court and served on all parties. (Olufs Dec., ¶ 4.)

Attorney Olufs further states that they provided Cibrian an additional ten days from the date of the November 10, 2025, letter to file and serve a verified answer, and advised Cibrian that if she required additional time, she could contact attorney Olufs in writing before the deadline so that they could discuss a brief extension. (Olufs Dec., ¶ 5.) Attorney Olufs also recommended that Cibrian retain an attorney to assist her in preparing and filing a response. (Ibid.)

Attorney Olufs received notice of the Second Cibrian Motion on May 26, 2026. (Olufs Dec., ¶ 13.) Plaintiff was not served with the Amended Second Cibrian Motion, which attorney Olufs obtained from the court's electronic docket in order to prepare an opposition to that motion. (Olufs Dec., ¶¶ 15-16.)

The Second Cibrian Motion and Amended Second Cibrian Motion are each accompanied by a copy of a document titled "General Denial and Affirmative Defenses to Plaintiff's Complaint for Damages" that Cibrian proposes to file in this case. (Cibrian Decs., exhibit A.) The information and evidence appearing in attorney Olufs' declaration and described above also indicates or suggests that Plaintiff was served with notice of the Second Cibrian Motion on May 26, 2026. For these reasons, the present record reflects that the Second Cibrian Motion was filed no later than six months after the default entered on December 16, 2025, and is procedurally appropriate and timely.

"Code of Civil Procedure, section 473, providing that a trial court may relieve a party from 'a judgment, order, or other proceeding taken against him through his mistake, inadvertence, surprise or excusable neglect,' is remedial in its nature and is to be liberally construed." (Reed v. Williamson (1960) 185 Cal.App.2d 244, 248 (Reed).) Though the Second Cibrian Motion and the Amended Second Cibrian Motion lack specific details in regard to the actual cause of Cibrian's failure to timely file a response to Plaintiff's complaint, there is sufficient information from which the court can infer that any failure by Cibrian to timely respond to Plaintiff's complaint was the result of inadvertence or excusable neglect in regard to the legal procedures that apply here. (See *Gee v. Greyhound Lines, Inc.* (2016) 6 Cal.App.5th 477, 492 [generally discussing conflicting reasonable inferences disclosed by the record in that case].)

For example, though Plaintiff contends or effectively contends in their opposition that any neglect by Cibrian is inexcusable because attorney Olufs' November 10, 2025, letter notified Cibrian of the distinction between filing documents with the court and serving them on the opposing parties before the default was entered, there exists some question as to whether that correspondence caused or contributed to any inadvertence or neglect by Cibrian.

For example, Plaintiff does not, and cannot reasonably, dispute that attorney Olufs' November 10, 2025, letter effectively demands that Cibrian file a verified answer to the complaint to avoid the entry of default. (Olufs Dec., exhibit A at pdf p. 12.) That letter does not mention that Cibrian "may, within 30 days after service of the complaint ..., demur to the complaint" (Code Civ. Proc., § 430.40, subd. (a); see also Olufs Dec., exhibit A at pdf p. 13.)

Also relevant here, "[i]f the parties are not able to meet and confer at least 5 days before the date the responsive pleading is due, the demurring party shall be granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer." (Code Civ. Proc., § 430.41, subd. (a)(2).) Absent from attorney Olufs' November 10, 2025, letter is any reference to these code provisions which provide Cibrian a 30 day extension of time to file a responsive pleading in the event the parties were unable to meet and confer within the time prescribed in subdivision (a)(2) of Code of Civil Procedure section 430.41.

"An honest mistake of law is a valid ground for relief when the legal problem posed 'is complex and debatable.' " [Citations.] The controlling factors in determining whether a mistake of law is excusable are the reasonableness of the misconception and the justifiability of the failure to determine the correct law." (State Farm Fire & Casualty Co. v. Pietak (2001) 90 Cal.App.4th 600, 611.) For the reasons discussed above, and considering Cibrian's asserted lack of knowledge or familiarity with procedures for responding to a complaint which apply here, it is not unreasonable to infer from the present record that "a reasonably prudent person under the same circumstances" as Cibrian may have made the same errors as those ostensibly made by Cibrian. (Alderman v. Jacobs (1954) 128 Cal.App.2d 273, 276 [discussing "[e]xcusable neglect"]; County of San Bernardino v. Mancini (2022) 83 Cal.App.5th 1095, 1103 [same]; see also Benjamin v. Dalmo Mfg. Co. (1948) 31 Cal.2d 523, 526–528 [discussing inadvertence resulting from a misunderstanding].) Moreover, "[t]he policy of the law is to have every litigated cause tried on its merits; and it looks with disfavor on a party who, regardless of the merits of his cause, attempts to

take advantage of the mistake, surprise, inadvertence, or neglect of his adversary.” (Reed, *supra*, 185 Cal.App.2d at p. 248.)

Though the opposition of Plaintiff also asserts that Cibrian failed to serve the Amended Second Cibrian Motion on Plaintiff (opp. at p. 6), Plaintiff does not appear to dispute that service of the Second Cibrian Motion was timely. Plaintiff has also filed an opposition to the Amended Second Cibrian Motion that disputes, on substantive grounds, the merits of that motion. That opposition does not assert that Plaintiff did not have adequate time to prepare opposition; that Plaintiff suffered any prejudice as a result of any defective service of the Amended Second Cibrian Motion; and does not request a continuance. For these reasons, the court concludes that Plaintiff has “waived any alleged defective service or inadequate notice.” (Carlton v. Quint (2000) 77 Cal.App.4th 690, 698.)

“When the moving party promptly seeks relief and there is no prejudice to the opposing party, very slight evidence is required to justify relief.” (Mink v. Superior Court (1992) 2 Cal.App.4th 1338, 1343.) Further, “ ‘any doubts in applying section 473 must be resolved in favor of the party seeking relief from default [citations]. ...’ [Citations.]” (Rappleyea v. Campbell (1994) 8 Cal.4th 975, 980 (Rappleyea).) As further discussed above, the available information and evidence presented by the parties is sufficient to show that the default of Cibrian was entered through the inadvertence or excusable neglect of Cibrian. The present record also shows that Cibrian promptly sought relief from the entry of default notwithstanding any defects in service of the First Cibrian Motion or the Amended Second Cibrian Motion. There is no information to suggest that Plaintiff will be prejudiced if the relief requested by Cibrian is granted.

For all reasons discussed above, and notwithstanding whether Cibrian has presented only very slight evidence justifying relief from default, the court will grant the relief requested by Cibrian in the Second Cibrian Motion and Amended Second Cibrian Motion, and order the default of Cibrian entered on December 16, 2026, vacated. The court will order Cibrian to file and serve the “General Denial and Affirmative Defenses to Plaintiff’s Complaint for Damages” in the form submitted as exhibit A to the Cibrian declaration filed on May 8, 2025.

(2) The Rodriguez Motion

In support of the Rodriguez Motion, Rodriguez states that they were served with the summons and complaint on or about October 15, 2025. (Rodriguez Dec., ¶ 1.) Rodriguez further states that they were surprised to receive that paperwork because, according to Rodriguez, this is a case regarding Pantoja and Rodriguez had nothing to do with Pantoja’s case. (Ibid.) When Rodriguez talked to Pantoja about this matter, Pantoja stated that they were going to take care of it by hiring an attorney and having Rodriguez removed from the case. (Rodriguez Dec., ¶ 2.) Rodriguez relied on Pantoja’s assurance. (Ibid.)

Rodriguez learned that a default was entered against them on or about June 16, 2026, when Rodriguez and Cibrian were talking to Pantoja’s attorney about this case. (Rodriguez Dec., ¶ 3.) Rodriguez was then informed about their responsibility to respond to Plaintiff’s complaint. (Ibid.)

Attached to the declaration of Rodriguez is a “General Denial and Affirmative Defenses to Plaintiff’s Complaint for Damages” that Rodriguez proposes to file in this case. (Rodriguez Dec., exhibit A.) For these and all further reasons discussed above, the Rodriguez Motion substantially complies subdivision (b) of Code of Civil Procedure section 473. (See also Austin v. Los Angeles Unified School Dist. (2016) 244 Cal.App.4th 918, 933.)

The six-month limit prescribed in subdivision (b) of Code of Civil Procedure section 473 “is mandatory; a court has no authority to grant relief under section 473, subdivision (b), unless an application is made within the six-month period.” (Arambula v. Union Carbide Corp. (2005) 128 Cal.App.4th 333, 340 & fn. 5.) Though the Rodriguez Motion was not filed within the six month limit prescribed in Code of Civil Procedure section 473, “[a]fter six months from entry of default, a trial court may still vacate a default on equitable grounds even if statutory relief is unavailable.” (Rappleyea, *supra*, 8 Cal.4th at p. 981.)

The equitable grounds upon which the court may vacate a default after six months from its entry include “cases where the lack of a fair adversary hearing in the original action is attributable to matters outside the issues adjudicated therein which prevented one party from presenting his case to the court, as for example, where there is extrinsic fraud [citations] or extrinsic mistake.” (*Olivera v. Grace* (1942) 19 Cal.2d 570, 575.) Relevant here, “[w]here a default is entered because defendant has relied upon a codefendant or other interested party to defend, the question is whether the defendant was reasonably justified under the circumstances in his reliance or whether his neglect at attend to the matter was inexcusable.” (*Weitz v. Yankosky* (1966) 63 Cal.2d 849, 855 (*Weitz*).)

Noted above, Pantoja filed an answer to Plaintiff’s complaint. The available information and evidence described above indicates or suggests, without reasonable dispute, that Rodriguez relied on Pantoja’s statements that Pantoja would hire an attorney to defend Rodriguez, including by securing a dismissal of Rodriguez from this case. Though Rodriguez presents no information showing what, if any, efforts were made by Rodriguez to obtain a defense by Pantoja, Plaintiff presents no evidence or information to show that Pantoja did not make the representations or assurances described in the Rodriguez declaration. There is also no information that would indicate or suggest that Rodriguez did not act reasonably in relying on Pantoja’s representations. (*Weitz*, supra, 63 Cal.2d at p. 856.)

The present record also shows or suggests, without reasonable dispute, that Rodriguez did not learn of the default until June 16, 2026. Considering the date on which the Rodriguez Motion was filed, it appears that Rodriguez “diligently tried to set aside the default once discovered.” (*Rappleyea*, supra, 8 Cal.4th at p. 983.) Further, “[t]here is no showing that [P]laintiff was in any way prejudiced by [Rodriguez’s] failure to answer on time. Even if the mistake were caused by some negligence on [Rodriguez’s] part, this negligence might be excused if it in no way prejudiced [Plaintiff].” (*Weitz*, supra, 63 Cal.2d at p. 856; see also *Rappleyea*, supra, 8 Cal.4th at pp. 983–984 [general discussion].) The court also notes that, though “there is a strong public policy in favor of the finality of judgments”, no default judgment has been obtained by Plaintiff. (*Rappleyea*, supra, 8 Cal.4th at pp. 981-982.)

The court is also not persuaded by Plaintiff’s contention that the Rodriguez Motion should be denied because the proposed response attached to that motion is improper or deficient. Though Code of Civil Procedure section 473 requires that an application for relief be accompanied by a copy of the proposed answer or other pleading, “[t]he plain object of the provision [is] simply to require the delinquent party seeking leave to contest on the merits, to show his good faith and readiness to at once file his answer in the event that leave is granted by producing a copy of the proposed answer for the inspection of his adversary and the court. Substantial compliance with the provision of course requires such production in connection with the application for relief.” (*Los Angeles County v. Lewis* (1918) 179 Cal. 398, 400.) Furthermore, “a rigid application of the ‘accompanied by’ requirement fails to give full remedial effect to the statute. Such an application of the statutory language is an ‘unnecessarily strict’ [citation] way to accomplish the statutory objectives.” (*County of Stanislaus v. Johnson* (1996) 43 Cal.App.4th 832, 837.)

For all reasons discussed above, the Rodriguez Motion is sufficient to show, expressly and by inference, that the default of Rodriguez was entered through extrinsic mistake or neglect arising from Rodriguez’s reasonably justified reliance on the assurances or representations of Pantoja described in that motion, and that Rodriguez acted diligently to obtain relief after discovery the entry of default. Absent a showing of prejudice to Plaintiff, the court will “resolve[] any doubt it may have ... in favor of permitting an adjudication on the merits.” (*Weitz*, supra, 63 Cal.2d at p. 858.) For these and all further reasons discussed above, the court will grant the Rodriguez Motion, and require Rodriguez to file and serve their answer to Plaintiff’s complaint in the form attached as exhibit A to the Rodriguez declaration submitted in support of that motion.

Judges

Judge Donna D. Geck

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